

Legacy Fund — European Affordable Housing

ExecutiveEngine: legacy_fund_v1

Step 1 — Horizon

Set development and operating period.

Development years

3

Hold

Years (after development)

20

Step 2 — Equity stack

Private equity + EIF public equity + optional junior equity.

Private equity [€]

500000000

EIF public equity [€]

200000000

Junior equity % of total

0

Junior equity absorbs first losses before common equity.

Step 3 — EIB fund leverage

EIB provides fund-level debt (D/(D+E)).

EIB debt share of total capital

0.5

EIB interest rate

0.02

Step 4 — Asset-level development debt

Optional: add project debt during development (0+ + bullet).

Use asset dev debt

No

Asset LTC

0

Asset dev debt rate

0.05

Step 5 — Investor rotation

Optional: impact investors exit after development.

Enable rotation

No

Impact exit % (of private equity)

0

Buyout debt rate

0.0175

Rotation mode

Borrow buyout debt (CPM to exit)

Step 6 — Fees & carry + Preferred

Waterfall A: fees/carry. Waterfall B: preferred layer.

Founder / management fee

0.02

Bank / custody fee

0.005

Tokenization & distribution fee

0.005

Carry rate

0.2

Enable preferred

No

Preferred amount [€]

0

Preferred rate

0.08

Step 7 — Country Mix

This drives development value creation and stabilized affordable income yield by country.

Enter country assumptions (weights will be normalized in the engine).

Country	Weight	Dev IRR	Affordable Yield	Inflation
Spain	0.4	0.11	0.047	0.025
France	0.1	0.09	0.04	0.02
Denmark	0.1	0.09	0.042	0.02
Portugal	0.1	0.1	0.045	0.022
Netherlands	0.1	0.08	0.038	0.02
Poland	0.1	0.12	0.052	0.03
Hungary	0.1	0.12	0.055	0.04

Tip: set weights approximately — the engine normalizes them automatically.

Add row

Run Model

LEGACY FUND — EUROPEAN AFFORDABLE HOUSING INVESTMENT FUND

Results (Steps 5–8) legacy_fund_v1 engine 0.1.0

Show Raw JSON Save Scenario

Fund narrative — how to read Steps 5–8

The Legacy Fund deploys **Common equity** (Private + EIF + optional Junior) and **EIB fund debt** into a pan-European affordable housing strategy. Development capital is rolled into stabilized assets that generate **affordable NOI**, grown by country-specific inflation.

Step 5 shows the gross economics: total deployable capital, stabilized NOI, and gross IRR/MOIC for the common equity pool *before* fees, carry, or preferred. The stabilisation and schedule tables let you audit the path from Year 0 capital to Year T reversion.

Case A — Waterfall A: no preferred equity. Common equity shares net cashflows after fees/carry. Junior absorbs first losses.

Case B — Waterfall B: preferred equity sits above common. Preferred receives coupon + principal first; the residual goes to the common waterfall.

Key cashflow definitions (plain language)
NOI is stabilized net operating income from the rental portfolio (here: affordable rents), grown by inflation.
Portfolio CF is the asset-side cashflow: NOI minus any asset-level debt service (if enabled) plus terminal value (reversion).
Distributable to Equity is what remains after paying fund-level debt (EIB + any Buyout debt). This is the cash available to equity holders before applying fees and waterfall logic.

Debt service coverage (DSCR)
We report DSCR as **NOI / Debt Service** during operating years (post-development). This is a standard credit metric used by lenders and investment committees. In this model we show DSCR separately for the **EIB fund loan**, the **Buyout (rotation) debt**, and **total fund-level debt**.

Step 5 — Results dashboard (gross, pre-fees & pre-preferred)

Gross fund metrics based on the capital structure and country mix selected in Steps 1–4.

Total equity (Common pool)
Private + EIF + Junior equity at Year 0.
€700,000,000

EIB fund debt
Fund-level leverage set by D / (D + E).
€700,000,000

Deployable capital (E + D)
Total development capital available at Year 0.
€1,400,000,000

Horizon
Development + operating years.
23 years

IRR (Common, gross)
Gross IRR for Common equity, before fees/carry.
9.46%

MOIC (Common, gross)
Gross multiple on invested Common equity.
5.43x

Avg CoC (gross)
Average gross Cash-on-Cash during operating years.
9.3%

Stabilised NOI (affordable)
Year-1 stabilised NOI at the end of development.
€84,805,245

CoC (Year 1 post-dev, gross)
Year-1 stabilised NOI at the end of development.
6%

Step 5b — Stabilisation by country (values & NOI)

Breakdown of development cost, stabilised asset value, and stabilised affordable NOI by country.

Stabilisation by country: development value creation, stabilized value, and stabilized NOI based on affordable yield.

Showing 7 of 7 rows

Country	Weight (norm)	Dev Cost [€]	Asset Dev Debt [€]	Equity-like Capital [€]	Stabilized Equity Value [€]	Stabilized Asset Value [€]	Stabilized NOI [€]	Dev IRR
Spain	0.4	560,000,000	0	560,000,000	765,873,360	765,873,360	34,464,301.2	0.11
France	0.1	140,000,000	0	140,000,000	181,304,060	181,304,060	8,158,682.7	0.09
Denmark	0.1	140,000,000	0	140,000,000	181,304,060	181,304,060	8,158,682.7	0.09
Portugal	0.1	140,000,000	0	140,000,000	186,340,000	186,340,000	8,385,300	0.1
Netherlands	0.1	140,000,000	0	140,000,000	176,359,680	176,359,680	7,936,185.6	0.08
Poland	0.1	140,000,000	0	140,000,000	196,689,920	196,689,920	8,851,046.4	0.12
Hungary	0.1	140,000,000	0	140,000,000	196,689,920	196,689,920	8,851,046.4	0.12

Table: Stabilisation

Step 5c — Full schedules & cashflows (audit)

Year-by-year path from NOI and debt service to distributable cash and terminal value.

How debt works in this model

Portfolio CF is the project-level cashflow before fund-level financing: It starts from NOI, subtracts any asset development debt costs, and adds terminal reversion (if enabled).
EIB Payment is paid at the fund level (interest-only during development, then amortising during hold). After paying EIB, the remaining cash is what equity can potentially receive.
Buyout Payment only exists if the fund borrows to buy out Impact investors at the end of development. In that case, buyout debt service is paid from operating cashflows alongside EIB debt service.
DSCR shows coverage: DSCR = NOI / Debt Service. Compare EIB-only coverage vs total fund-level debt (EIB + Buyout).

How exit value and cap rates work here

The exit value (shown as **Reversion** in the last year of **Core Schedules**) is computed using a cap-rate approach, but the interpretation depends on the affordability commitment.
Important: in this fund, assets are kept at **affordable rents** for the affordability period (here: **measured from stabilisation**, e.g., 20 years post-development). After the restriction expires, rents can revert to **market rents**, creating upside.
There are two investor-friendly ways to model this:
• **Simple exit cap rate**: you enter an exit cap rate that is assumed to already reflect the fact that the asset is still affordable at exit (i.e., the buyer prices in restricted rents). If you also apply a "market uplift", you are effectively assuming some market reversion at exit.
• **Two-stage affordability + market**: the model treats the exit as a buyer purchasing a restricted-income asset, but with an embedded option: after the restriction period ends, income steps up toward market rents, and the terminal value is based on a market cap rate. This explicitly isolates the **upside after affordability**.
How to interpret "Exit cap rate after the 20-year hold": If the fund exits while the asset is still under affordability restrictions, the exit cap rate should be interpreted as an **affordable cap rate** (restricted NOI / price). The market upside then comes from what happens *after* restrictions end — this is what the two-stage method captures.
Practical guidance used by many investment teams:
• Use the **two-stage method** when you want the model to explicitly show the value of the "market rent reversion" upside.
• Use the **simple exit cap** when you already have comps/valuation guidance for trading restricted-income affordable portfolios.

Rotation / buyout option — what should change

The "buyout" (rotation) option represents **patient capital buying out an impact investor's equity stake** at the end of development. In the debt-financed version, the fund borrows "buyout debt" and uses the proceeds to pay the exiting investor.
Why the development-year cashflow can look unchanged:
In a debt-financed buyout, the model has a cash inflow (debt proceeds) and an equal cash outflow (buyout payment) in the same year. Net impact that year is approximately zero. The economic impact appears later via **Buyout Payment** (debt service) reducing distributable cash during the operating years.
How to verify it is working:
Open **Core Schedules** and check the column **Buyout Payment [€]**. If it is all zeros, the buyout is not active (inputs not being applied). If it shows a payment stream post-development, the buyout is active and it should reduce distributable cash and equity returns.

Exit valuation details (audit)

Components used to compute the terminal reversion value.

Year-by-year schedule from NOI to distributable cash. Portfolio CF is before fund-level debt; Distributable to Equity is after paying EIB debt and any Buyout debt. DSCR columns show NOI coverage of each debt layer (operating years only).

Showing 24 of 24 rows

Year	NOI [€]	Asset Mortgage Payment [€]	Asset Dev Interest [€]	Asset Dev Bullet [€]	Reversion [€]	Portfolio CF [€]	EIB Payment [€]	Buyout P.
0	0	0	0	0	0	0	0	0
1	0	0	0	0	0	0	14,000,000	0
2	0	0	0	0	0	0	14,000,000	0
3	0	0	0	0	0	0	14,000,000	0
4	84,805,245	0	0	0	0	84,805,245	41,970,296.7527	0
5	86,942,337.174	0	0	0	0	86,942,337.174	41,970,296.7527	0
6	89,133,284.0708	0	0	0	0	89,133,284.0708	41,970,296.7527	0
7	91,379,442.8294	0	0	0	0	91,379,442.8294	41,970,296.7527	0
8	93,682,204.7887	0	0	0	0	93,682,204.7887	41,970,296.7527	0
9	96,042,996.3493	0	0	0	0	96,042,996.3493	41,970,296.7527	0
10	98,463,279.8573	0	0	0	0	98,463,279.8573	41,970,296.7527	0
11	100,944,554.5098	0	0	0	0	100,944,554.5098	41,970,296.7527	0
12	103,488,357.2834	0	0	0	0	103,488,357.2834	41,970,296.7527	0
13	106,096,263.8869	0	0	0	0	106,096,263.8869	41,970,296.7527	0
14	108,769,889.7369	0	0	0	0	108,769,889.7369	41,970,296.7527	0
15	111,510,890.9583	0	0	0	0	111,510,890.9583	41,970,296.7527	0
16	114,320,965.4104	0	0	0	0	114,320,965.4104	41,970,296.7527	0
17	117,201,853.7388	0	0	0	0	117,201,853.7388	41,970,296.7527	0
18	120,155,340.453	0	0	0	0	120,155,340.453	41,970,296.7527	0
19	123,183,255.0324	0	0	0	0	123,183,255.0324	41,970,296.7527	0
20	126,287,473.0592	0	0	0	0	126,287,473.0592	41,970,296.7527	0
21	129,469,917.3803	0	0	0	0	129,469,917.3803	41,970,296.7527	0
22	132,732,559.2983	0	0	0	0	132,732,559.2983	41,970,296.7527	0
23	136,077,419.7926	0	0	0	2,721,548,395.8518	2,857,625,815.6444	62,365,653.168	0

Table: Core_Schedules

Core schedule: NOI and distributable cash

NOI ramps post-development; distributable cash reflects EIB debt service, any buyout debt, and reversion.

Fund-level debt service layers

EIB debt is the core fund-level leverage. Buyout debt only exists if the fund borrows to buy out impact investors at the end of development.

Debt coverage (DSCR)

DSCR = NOI / Debt Service. Compare coverage of EIB alone vs total fund-level debt (EIB + Buyout).

Terminal value (reversion)

If the fund sells at exit, the reversion value appears in the final year.

Cashflows under Waterfall A: founder fees/carry, common gross vs net, and stakeholder splits. Includes Cash-on-Cash series.

Showing 24 of 24 rows

Year	Common Gross CF [€]	Common Net CF [€]	Founder CF [€]	Private Net CF [€]	EIF Net CF [€]	Junior Net CF [€]	CoC Gross	CoC Net
0	-700,000,000	-700,000,000	0	-500,000,000	-200,000,000	-0	0	0
1	-14,000,000	-35,000,000	21,000,000	-25,000,000	-10,000,000	0	0	0
2	-14,000,000	-35,000,000	21,000,000	-25,000,000	-10,000,000	0	0	0
3	-14,000,000	-35,000,000	21,000,000	-25,000,000	-10,000,000	0	0	0
4	42,834,948.2473	21,834,948.2473	21,000,000	15,596,391.8052	6,238,556.6421	0	0.0612	0.0312
5	44,972,040.4213	23,972,040.4213	21,000,000	17,122,886.0152	6,849,154.4061	0	0.0642	0.0342
6	47,162,987.3181	26,162,987.3181	21,000,000	18,687,848.0844	7,475,139.2338	0	0.0674	0.0374
7	49,409,146.0767	28,409,146.0767	21,000,000	20,292,247.1977	8,116,898.8791	0	0.0706	0.0406
8	51,711,908.036	30,711,908.036	21,000,000	21,937,077.1686	8,774,830.8674	0	0.0739	0.0439
9	54,072,699.5967	33,072,699.5967	21,000,000	23,623,356.8548	9,449,342.7419	0	0.0772	0.0472
10	56,492,983.1047	35,492,983.1047	21,000,000	25,352,130.7891	10,140,852.3156	0	0.0807	0.0507
11	58,974,267.7571	37,974,267.7571	21,000,000	27,124,469.8265	10,849,787.9306	0	0.0842	0.0542
12	61,518,060.5307	40,518,060.5307	21,000,000	28,941,471.8077	11,576,588.7231	0	0.0879	0.0579
13	64,125,967.1343	43,125,967.1343	21,000,000	30,804,262.2388	12,321,704.8955	0	0.0916	0.0616
14	66,799,592.9842	45,799,592.9842	21,000,000	32,713,994.9887	13,085,597.9955	0	0.0954	0.0654
15	69,540,594.2056	48,540,594.2056	21,000,000	34,671,853.004	13,868,741.2016	0	0.0993	0.0693
16	72,350,668.6578	51,350,668.6578	21,000,000	36,679,049.0413	14,671,619.6165	0	0.1034	0.0734
17	75,231,556.9861	54,231,556.9861	21,000,000	38,736,826.4186	15,494,730.5675	0	0.1075	0.0775
18	78,185,043.7003	57,185,043.7003	21,000,000	40,846,459.7859	16,338,583.9144	0	0.1117	0.0817
19	81,212,958.2797	60,212,958.2797	21,000,000	43,009,255.9141	17,203,702.3656	0	0.116	0.086
20	84,317,176.3065	63,317,176.3065	21,000,000	45,226,554.5047	18,090,621.8019	0	0.1205	0.0905
21	87,499,620.6276	66,499,620.6276	21,000,000	47,499,729.0197	18,999,891.6079	0	0.125	0.095
22	90,762,262.5456	69,762,262.5456	21,000,000	49,830,187.5326	19,932,075.013	0	0.1297	0.0997
23	2,795,260,162.4763	2,191,773,235.4777	603,486,926.9986	1,665,552,311.0555	626,220,924.4222	0	3.9932	3.1311

Table: Cashflows_WF_A

Cash-on-Cash profile (Waterfall A)

Gross vs net Cash-on-Cash: net includes management fees and carry on the common equity pool.

Net cashflows of tranches (Waterfall A)

Distribution of net cashflows between Private, EIF, and Junior equity under first-loss mechanics.

Founder cashflows (fees + carry, A)

Annual management fees plus terminal carry where applicable.

Step 6 — Waterfall A (Case A: Common equity-only structure)

Case A applies management fees and carry on the Common equity pool, with no preferred equity. Junior absorbs first losses; the remaining cashflows are shared pro-rata between Private and EIF.

IRR (Common, net — Case A)
Net of management fees and carry